

# Affinius Capital's \$188M Refi Shows Private Credit Is Financing Lease-Up, Not Just Stabilization

The loan reveals a market where private lenders fund completion risk while banks retreat to core assets.

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## Inside the \$188 million financing

**\$188 million**

Debt / financing

**58,800 square feet**

Portfolio size

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## **It is the stated use of proceeds: to complete the lease-up and stabilization of the property**

The most important detail in Affinius Capital's \$188 million loan to refinance the District at 15Fifteen is not the loan amount. It is the stated use of proceeds: to complete the lease-up and stabilization of the property. This is not a conventional refinancing of a stabilized asset.

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## **It is a transitional capital solution for a 498-unit multifamily property with 58,800**

It is a transitional capital solution for a 498-unit multifamily property with 58,800 square feet of retail space in Parsippany, N.J., that has not yet reached full occupancy and income. The borrower-a joint venture between PCCP, Claremont Development, and Stanbery Development Group-is using private credit to buy time and finish the lease-up that construction debt was originally meant to carry.

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## **The transaction signals something specific about the current capital markets: private**

The transaction signals something specific about the current capital markets: private lenders are willing to finance assets that are not yet stabilized, provided the basis is defensible and the submarket is supply-constrained. Banks, by contrast, are largely unwilling to touch this kind of transitional risk today.

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## The gap between what bank balance sheets will finance and what the market needs is being

The gap between what bank balance sheets will finance and what the market needs is being filled by firms like Affinius Capital, which is the debt origination arm of USAA Real Estate. The property, District at 15Fifteen, sits on a 12.7-acre site in a transit-oriented New Jersey submarket. The three-building complex-Smyth and two others-offers a mix of multifamily and retail.

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## High-quality, fundamentally strong market, compelling long-term characteristics

The retail component adds complexity to the underwriting, but the multifamily portion benefits from strong demographic demand in a supply-constrained corridor. David Greenburg, co-head of debt originations at Affinius Capital, described the asset as exactly the kind of mixed-use property the firm looks to finance: high-quality, fundamentally strong market, compelling long-term characteristics. That language is standard. The capital structure is not.

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# The construction completion and lease-up phase, and the eventual stabilized cash flow phase

By financing lease-up and stabilization, Affinius Capital is effectively underwriting two phases of risk: the construction completion and lease-up phase, and the eventual stabilized cash flow phase. The loan is structured to bridge the gap between where the asset is today and where the borrower needs it to be to qualify for agency debt or lower-cost bank financing. The borrower is not taking a permanent loan.

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## **It is taking a bridge loan with an exit plan that depends on execution**

It is taking a bridge loan with an exit plan that depends on execution. Who benefits? The borrower gets time and liquidity to finish leasing without a forced sale or a distressed capital call. The lender gets a yield premium for taking transitional risk on an asset that, if executed well, will refinance into cheaper agency debt within 12 to 24 months.

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## **The retail tenants, if any, benefit from a landlord with the capital to complete the project**

The retail tenants, if any, benefit from a landlord with the capital to complete the project. Who is exposed? The lender carries lease-up risk in a market where rent growth has moderated and operating costs remain elevated. If the property does not stabilize on schedule, the loan may need an extension or restructuring.

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## **The borrower is exposed to the same execution risk, with the added pressure**

The borrower is exposed to the same execution risk, with the added pressure of a floating-rate or short-term fixed-rate structure that could reset at a higher cost if the timeline slips. This deal is part of a broader pattern: private credit is stepping into the gap left by banks in transitional and value-add multifamily. The banks are not gone, but they are underwriting only stabilized cash flow with strong sponsors.

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## **Everything else is being priced and placed by debt funds, insurance companies**

Everything else is being priced and placed by debt funds, insurance companies, and alternative lenders who can underwrite complexity and charge for it. The market should watch what happens to this loan in 18 months. If the property stabilizes and refinances into agency debt, the deal will be a template for similar transitional financings.

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## If it does not, it will be a reminder

If it does not, it will be a reminder that lease-up risk is real, even in supply-constrained submarkets, and that private credit is not a permanent solution-it is an expensive bridge. The loan is not proof that multifamily lending is back to normal. It is proof that capital is available for the right asset, the right sponsor, and the right basis, but only at a price that reflects the risk of incompleteness.

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# Why it matters

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**LIGHT TOWER GROUP**